

Find the Best-Performing Stocks by Buying Them All

“**I**N THE HISTORY of the markets since 1926, Apple has generated more profit for investors than any other American company.”

Jeff Sommers wrote that in the *New York Times* in September 2017. Up until 2016, the leader of all public stocks since 1926 had been ExxonMobil.²¹⁹ The oil giant has been publicly traded three times as long as Apple.

[Amazon.com](https://www.amazon.com) annualized stock price returns were the highest, at 37%, but it hasn't been in existence long enough to create as much investor wealth; it ranked 14th on a list created by Hendrik Bessembinder, the finance professor we met last chapter. Other notable companies on the list include Meta (Facebook), Visa, Alphabet (Google), Microsoft, and Berkshire Hathaway.

We discussed that three-decade-long period where very few stocks were responsible for all net wealth creation. Sommers pointed out even more provocative data from Bessembinder's research: 4% of publicly traded stocks account for *all of the net wealth* created by the stock market since 1926. Within that 4%, 30 stocks account for 30% of that net wealth; 50 stocks account for 40%.

Let that sink in a moment: Only one in 25 companies are responsible for *all stock market gains over nearly a century*. The other 24 of 25 stocks—that's 96%—are essentially ballast.

Buried within that data point is the implied question all of investment management has been wrestling with since, well, forever: “How can investors find the top-performing stocks like Apple, Amazon, and ExxonMobil?”

Many investors have been following up that question with their own